

Chapter Five

Accounting for Receivables

LEARNING OBJECTIVES

After studying this chapter, you should be able to:

1. Define receivables.
2. Identify the different types of receivables.
3. Explain how companies recognize accounts receivable.
4. Distinguish between the methods and bases companies use to value A/R.
5. Describe the entries to record the disposition of A/R.
6. Compute the maturity date of and interest on N/R.
7. Explain how companies recognize notes receivable.
8. Describe how companies value notes receivable.
9. Describe the entries to record the disposition of N/R.

5.1. Definition of Receivables

- ◆ The term **receivables** refers to amounts due from individuals and companies. They are **claims that are expected to be collected in cash**.
- ◆ The **management of receivables** is a very important activity for any company that sells goods or services on credit.
- ◆ **Receivables** are important because they represent one of a company's most liquid assets.
- ◆ For many companies, receivables are also one of the largest assets.

Amounts due from individuals and companies that are expected to be collected in cash.

Company	Receivables as a Percentage of Total Assets
adidas (DEU)	16%
Hyundai (KOR)	5
Samsung (KOR)	13
Nestlé (CHE)	41
China Mobile Limited (HKG)	2

Illustration 8-1

Receivables as a Percentage of Assets

5.2. Types of Receivables

Classifications of Receivables

Amounts customers owe on account that result from the sale of goods and services.

**Accounts
Receivable**

Written promise (formal instrument) for amount to be received. Also called **trade receivables**.

**Notes
Receivable**

Nontrade receivables such as interest, loans to officers, advances to employees, and income taxes refundable.

**Other
Receivables**

Question #7

Receivables are frequently classified as:

- a. accounts receivable, company receivables, and other receivables.
- b. accounts receivable, notes receivable, and employee receivables.
- c. accounts receivable and general receivables.
- d. accounts receivable, notes receivable, and other receivables.

5.3. Accounts Receivable

Recognizing Accounts Receivable

- ◆ **Service organization** records a receivable when it performs service on account.
- ◆ **Merchandiser** records accounts receivable at the point of sale of merchandise on account.
- ◆ Seller may offer a **discount** to encourage early payment.
- ◆ Buyer might **return goods** found to be unacceptable.
 - ▶ Sales returns reduce receivables.

Recognizing Accounts Receivable

Illustration: Assume that **Hennes & Mauritz** (SWE) Co. on July 1, 2014, sells merchandise on account to Polo Company for \$1,000 terms 2/10, n/30. Prepare the journal entry to record this transaction on the books of **Hennes & Mauritz**.

Jul. 1	Accounts Receivable	1,000	
	Sales Revenue		1,000

Recognizing Accounts Receivable

Illustration: On July 5, Polo returns merchandise worth \$100 to **Hennes & Mauritz**.

Jul. 5	Sales Returns and Allowances	100	
	Accounts Receivable		100

Illustration: On July 11, **Hennes & Mauritz** receives payment from Polo Company for the balance due.

Jul. 11	Cash (\$900 - \$18)	882	
	Sales Discounts (\$900 x .02)	18	
	Accounts Receivable		900



DO IT!

On May 1, Wilton sold merchandise on account to Bates for €50,000 terms 3/15, net 45. On May 4, Bates returns merchandise with a sales price of €2,000. On May 16, Wilton receives payment from Bates for the balance due. Prepare journal entries to record the May transactions on Wilton's books. (Ignore CGS Entries.)

May 1	Accounts Receivable—Bates	50,000	
	Sales Revenue		50,000
4	Sales Returns and Allowances	2,000	
	Accounts Receivable—Bates		2,000
16	Cash (€48,000 - €1,440)	46,560	
	Sales Discounts (€48,000 x .03)	1,440	
	Accounts Receivable—Bates		48,000

Valuing Accounts Receivable

- ◆ Current asset.
- ◆ Valuation (net realizable value).

Uncollectible Accounts Receivable

- ◆ Sales on account raise the possibility of accounts not being collected.
- ◆ Seller records losses that result from extending credit as **Bad Debt Expense**.

Valuing Accounts Receivable

Methods of Accounting for Uncollectible Accounts

Direct Write-Off

Theoretically undesirable:

- ◆ No matching.
- ◆ Receivable not stated at amount expect to be received.
- ◆ Not acceptable for financial reporting.

Allowance Method

Losses are estimated:

- ◆ Better matching.
- ◆ Receivable stated at cash (net) realizable value.
- ◆ Required by IFRS.

Direct Write-off Method for Uncollectible Accounts

Illustration: Assume that Warden Ltd. writes off M. E. Doran's HK\$1,600 balance as uncollectible on December 12. Warden's entry is:

Bad Debt Expense	1,600	
Accounts Receivable—M. E. Doran		1,600

Theoretically undesirable:

- ◆ No matching.
- ◆ Receivable not stated at cash realizable value.
- ◆ Not acceptable for financial reporting.

Allowance Method for Uncollectible Accounts

1. Companies **estimate** uncollectible accounts receivable.
2. Debit **Bad Debt Expense** and credit **Allowance for Doubtful Accounts** (a contra-asset account).
3. Companies debit **Allowance for Doubtful Accounts** and credit **Accounts Receivable** at the time the specific account is **written off** as uncollectible.

Allowance Method

RECORDING ESTIMATED UNCOLLECTIBLES

Illustration: Hampson Furniture has credit sales of €1,200,000 in 2017, of which €200,000 remains uncollected at December 31. The credit manager estimates that €12,000 of these sales will prove uncollectible.

Dec. 31	Bad Debt Expense	12,000	
	Allowance for Doubtful Accounts		12,000

HAMPSON FURNITURE

Statement of Financial Position (partial)

Current assets		
Supplies		€ 25,000
Inventory		310,000
Accounts receivable	€200,000	
Less: Allowance for doubtful accounts	<u>12,000</u>	188,000
Cash		<u>14,800</u>
Total current assets		€537,800

Illustration 8-3

Presentation of Allowance for Doubtful Accounts

WRITE-OFF AN UNCOLLECTIBLE ACCOUNT

Illustration: The vice-president of finance of Hampson Furniture on March 1, 2018, authorizes a write-off of the €500 balance owed by R. A. Ware. The entry to record the write-off is:

Mar. 1	Allowance for Doubtful Accounts	500	
	Accounts Receivable—R. A. Ware		500

Accounts Receivable		Allowance for Doubtful Accounts			
Jan. 1	Bal. 200,000	Mar. 1	500	Jan. 1	Bal. 12,000
Mar. 1	Bal. 199,500			Mar. 1	Bal. 11,500

Illustration 8-4

General Ledger Balances after Write-off

WRITE-OFF AN UNCOLLECTIBLE ACCOUNT

Illustration: The vice-president of finance of Hampson Furniture on March 1, 2018, authorizes a write-off of the €500 balance owed by R. A. Ware. The entry to record the write-off is:

Mar. 1	Allowance for Doubtful Accounts	500	
	Accounts Receivable—R. A. Ware		500

	<u>Before Write-Off</u>	<u>After Write-Off</u>
Accounts receivable	€ 200,000	€ 199,500
Less: Allowance for doubtful accounts	12,000	11,500
Cash realizable value	<u>€188,000</u>	<u>€188,000</u>

Illustration 8-5

Cash Realizable Value Comparison

RECOVERY OF AN UNCOLLECTIBLE ACCOUNT

Illustration: On July 1, R. A. Ware pays the €500 amount that Hampson Furniture had written off on March 1. Hampson makes these entries:

July 1	Accounts Receivable—R. A. Ware	500	
	Allowance for Doubtful Accounts		500
1	Cash	500	
	Accounts Receivable—R. A. Ware		500

ESTIMATING THE ALLOWANCE

Illustration 8-6

Comparison of Bases for
Estimating Uncollectibles

Percentage of Sales

Matching

Sales  Bad Debt:
Expense

**Emphasis on Income Statement
Relationships**

Percentage of Receivables

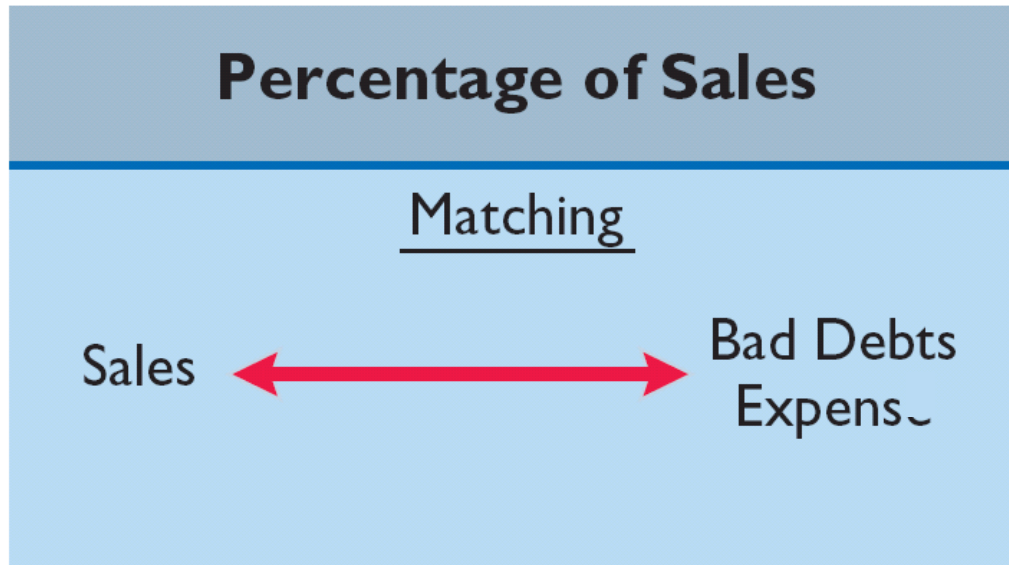
Cash Realizable Value

Accounts
Receivable  Allowance
for
Doubtful
Accounts

**Emphasis on Statement of
Financial Position Relationships**

ESTIMATING THE ALLOWANCE

Illustration 8-6



Management estimates what percentage of credit sales will be uncollectible. This percentage is based on past experience and anticipated credit policy.

Emphasis on Income Statement Relationships

Percentage-of-Sales

Illustration: Assume that **Gonzalez SA** elects to use the percentage-of-sales basis. It concludes that **1% of net credit sales** will become **uncollectible**. If net credit sales for 2017 are €800,000, the adjusting entry is:

Dec. 31	Bad Debt Expense	8,000 *	
	Allowance for Doubtful Accounts		8,000

* €800,000 x 1%

Percentage-of-Sales

- ◆ Emphasizes matching of expenses with revenues.
- ◆ Adjusting entry to record bad debts **disregards** the existing balance in **Allowance for Doubtful Accounts**.

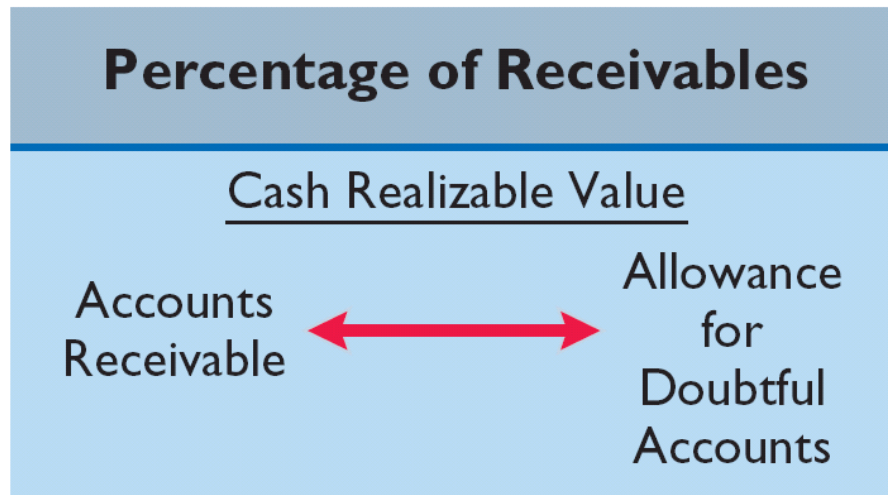
Bad Debt Expense		Allowance for Doubtful Accounts	
Dec. 31 Adj.	8,000		Jan. 1 Bal. 1,723
			Dec. 31 Adj. 8,000
			Dec. 31 Bal. 9,723

Illustration 8-7

Bad Debt Accounts after Posting

ESTIMATING THE ALLOWANCE

Illustration 8-6



Management establishes a percentage relationship between the **amount of receivables** and **expected losses from uncollectible accounts**.

**Emphasis on Statement of
Financial Position Relationships**

Aging the accounts receivable - customer balances are classified by the length of time they have been unpaid.

Illustration 8-8 Aging schedule

	A	B	C	D	E	F	G	
1	(₩ in thousands)			Number of Days Past Due				
2			Not					
3	Customer	Total	Yet Due	1-30	31-60	61-90	Over 90	
4	T. E. Song	₩ 600		₩ 300		₩ 200	₩ 100	
5	R. C. Han	300	₩ 300					
6	B. A. Yoon	450		200	₩ 250			
7	O. L. Choi	700	500			200		
8	T. O. Bae	600			300		300	
9	Others	36,950	26,200	5,200	2,450	1,600	1,500	
10		₩ 39,600	₩ 27,000	₩ 5,700	₩ 3,000	₩ 2,000	₩ 1,900	
11	Estimated Percentage Uncollectible		2%	4%	10%	20%	40%	
12	Total Estimated Bad Debts	₩ 2,228	₩ 540	₩ 228	₩ 300	₩ 400	₩ 760	
13								

Percentage-of-Receivables (₩ in thousands)

Illustration: Assume the unadjusted trial balance shows **Allowance for Doubtful Accounts** with a **credit** balance of ₩528. Prepare the adjusting entry assuming ₩2,228 is the estimate of uncollectible receivables from the aging schedule.

Dec. 31	Bad Debt Expense	1,700	
	Allowance for Doubtful Accounts		1,700

Illustration 8-9

Bad Debt
Accounts after
Posting

Bad Debt Expense		Allowance for Doubtful Accounts	
Dec. 31 Adj.	1,700	Bal.	528
		Dec. 31 Adj.	1,700
		Bal.	2,228



DO IT!

Brule Co. has been in business five years. The ledger at the end of the current year shows:

Accounts Receivable	\$30,000	Dr.
Sales Revenue	\$180,000	Cr.
AFDA	\$2,000	Dr.

Bad debts are estimated to be 10% of receivables. Prepare the entry to adjust Allowance for Doubtful Accounts.

Solution:

Bad Debt Expense	5,000	
Allowance for Doubtful Accounts		5,000

* $[(0.1 \times \$30,000) + \$2,000]$

Question #8

Which of the following approaches for bad debts is best described as a statement of financial position method?

- a. Percentage-of-receivables basis.
- b. Direct write-off method.
- c. Percentage-of-sales basis.
- d. Both A & B.

How are these accounts presented on the Statement of Financial Position?

Accounts Receivable

Beg.	500	
End.	500	

Allowance for Doubtful Accounts

	25	Beg.
	25	End.

ABC Corporation
Statement of Financial Position (partial)

Current Assets:

Supplies		€ 40
Inventory		812
Accounts receivable	500	
Less: Allowance for doubtful accounts	<u>(25)</u>	475
Cash		<u>330</u>
Total current assets		<u>1,657</u>

ABC Corporation

Statement of Financial Position (partial)

Current Assets:

Supplies	€ 40
Inventory	812
Accounts receivable, net of €25 allowance	475
Cash	330
Total current assets	1,657

Journal entry for **credit sale** of €100.

Accounts Receivable	100	
Sales		100

Accounts Receivable		
Beg.	500	
End.	500	

Allowance for Doubtful Accounts		
	25	Beg.
	25	End.

Journal entry for **credit sale** of €100.

Accounts Receivable	100	
Sales		100

Accounts Receivable

Beg.	500
------	-----

Sale	100
------	-----

End.	600
------	-----

Allowance for Doubtful Accounts

25	Beg.
----	------

25	End.
----	------

Collected €333 on account.

Cash	333	
Accounts Receivable		333

Accounts Receivable		
Beg.	500	
Sale	100	
End.	600	

Allowance for Doubtful Accounts		
	25	Beg.
	25	End.

Collected €333 on account.

Cash	333
Accounts Receivable	333

Accounts Receivable	
Beg.	500
Sale	100
	333 Coll.
End.	267

Allowance for Doubtful Accounts	
	25 Beg.
	25 End.

Adjustment of €15 for **estimated bad debts**.

Bad Debt Expense	15	
Allowance for Doubtful Accounts		15

Accounts Receivable			
Beg.	500		
Sale	100	333	Coll.
End.	267		

Allowance for Doubtful Accounts		
	25	Beg.
	25	End.

Adjustment of €15 for **estimated bad debts**.

Bad Debt Expense	15	
Allowance for Doubtful Accounts		15

Accounts Receivable			
Beg.	500		
Sale	100	333	Coll.
End.	267		

Allowance for Doubtful Accounts		
	25	Beg.
	15	Est.
	40	End.

Accounts Receivable 10

Allowance for Doubtful Accounts	
	25 Beg.
	15 Est.
	40 End.

Accounts Receivable 10

Accounts Receivable				Allowance for Doubtful Accounts			
Beg.	500					25	Beg.
Sale	100	333	Coll.			15	Est.
		10	W/O	W/O	10		
End.	257					30	End.

Cont'd

ABC Corporation
Statement of Financial Position (partial)

Current Assets:

Supplies		€ 40
Inventory		812
Accounts receivable	257	
Less: Allowance for doubtful accounts	<u>(30)</u>	227
Cash		<u>330</u>
Total current assets		<u>1,409</u>

Disposing of Accounts Receivables

SALE OF RECEIVABLES

- ◆ Finance company or bank.
- ◆ Buys receivables from businesses and then collects the payments directly from the customers.
- ◆ Typically charges a commission to the company that is selling the receivables.
- ◆ Fee ranges from 1% to 3% of the receivables purchased.

SALE OF RECEIVABLES

Illustration: Assume that **Tsai Furniture** factors NT\$600,000 of receivables to **Federal Factors**. Federal Factors assesses a service charge of 2% of the amount of receivables sold. The journal entry to record the sale by **Tsai Furniture** is as follows.

(NT\$600,000 x 2% = NT\$12,000)

Cash	588,000	
Service Charge Expense	12,000	
Accounts Receivable		600,000

CREDIT CARD SALES

- ◆ Retailer pays card issuer a fee of 2 to 6% of the invoice price for its services.
- ◆ Recorded the same as **cash sales**.
- ◆ **Advantages** to retailer:
 - ▶ Issuer does credit investigation of customer.
 - ▶ Issuer maintains customer accounts.
 - ▶ Issuer undertakes collection and absorbs losses.
 - ▶ Receives cash more quickly.

CREDIT CARD SALES

Illustration: **Lee Co.** purchases NT\$6,000 of music downloads for its restaurant from **Yang Music Co.**, using a **Visa First Bank Card**. **First Bank** charges a service fee of 3%. The entry to record this transaction by **Yang Music** is as follows.

Cash	5,820	
Service Charge Expense	180	
Sales Revenue		6,000



DO IT!

Mehl Wholesalers NV needs to raise €120,000 in cash to safely cover next Friday's employee payroll. **Mehl** has reached its debt ceiling. **Mehl's** balance of outstanding receivables totals €750,000. **Mehl** decides to factor €125,000 of its receivables on September 7, 2017, to alleviate this **cash crunch**. Record the entry that **Mehl** would make when it raises the needed cash. (Assume a **1%** service charge.)

Solution

Cash	123,750	
Service Charge Expense	1,250	*
Accounts Receivable		125,000

* (1% x €125,000)

5.4. Notes Receivable

Companies may grant credit in exchange for a promissory note.

A **promissory note** is a written promise to pay a specified amount of money on demand or at a definite time.

Promissory notes may be used

1. when individuals and companies lend or borrow money,
2. when amount of transaction and credit period exceed normal limits, or
3. in settlement of accounts receivable.

Cont'd

To the **payee**, the promissory note is a **note receivable**.
To the **maker**, the promissory note is a **note payable**.

Illustration 8-11 Promissory Note

The diagram illustrates a promissory note form with various fields and labels. Red arrows point from labels to the corresponding fields in the form.

Amount: £1,000

Date Due: 2 months after date

Date of Note: London, England May 1, 2017

Payee: to the order of Wilma Ltd.

Amount: One Thousand and no/100 pounds

Interest Rate: 12%

Maker: Calhoun plc

Treasurer: Phylis Miller

Determining the Maturity Date

Maturity date of a promissory note may be stated in one of three ways:

1. On demand.
2. On a stated date.
3. At the end of a stated period of time.

Note terms are expressed in:

- ◆ Months
- ◆ Days

When counting days, **omit** the date the note is issued, but **include** the due date.

Computing Interest

$$\begin{array}{ccccc} \text{Face Value} & & \text{Annual} & & \text{Time in} \\ \text{of Note} & \times & \text{Interest} & \times & \text{Terms of} \\ & & \text{Rate} & & \text{One Year} \end{array} = \text{Interest}$$

Illustration 8-14

Formula for Computing Interest

<u>Terms of Note</u>	<u>Interest Computation</u>				
	Face	×	Rate	×	Time = Interest
\$ 730, 12%, 120 days	\$ 730	×	12%	×	120/360 = \$ 29.20
\$1,000, 9%, 6 months	\$1,000	×	9%	×	6/12 = \$ 45.00
\$2,000, 6%, 1 year	\$2,000	×	6%	×	1/1 = \$120.00

Illustration 8-15

Computation of Interest

Question #9

One of the following statements about promissory notes is **incorrect**. The incorrect statement is:

- a. The party making the promise to pay is called the maker.
- b. The party to whom payment is to be made is called the payee.
- c. A promissory note is not a negotiable instrument.
- d. A promissory note is often required from high-risk customers.

Recognizing Notes Receivable

Illustration: Calhoun Company wrote a £1,000, two-month, 12% promissory note dated May 1, to settle an open account. Prepare entry would **Wilma Company** makes for the receipt of the note.

May 1	Notes Receivable	1,000	
	Accounts Receivable—Calhoun Co.		1,000

Valuing Notes Receivable

- ◆ Report short-term notes receivable at their **cash (net) realizable value**.
- ◆ Estimation of cash realizable value and recording bad debt expense and related allowance are similar to accounts receivable.
- ◆ Allowance for Doubtful Accounts is used.

Disposing of Notes Receivable

1. Notes may be held to their maturity date.
2. Maker may default and payee must make an adjustment to the account.
3. Holder speeds up conversion to cash by selling the note receivable.

HONOR OF NOTES RECEIVABLE

A note is **honored** when its maker pays it in full at its maturity date.

DISHONOR OF NOTES RECEIVABLE

A **dishonored note** is not paid in full at maturity. Dishonored note receivable is no longer negotiable.

HONOR OF NOTES RECEIVABLE

Illustration: **Wolder Co.** lends **Higley Inc.** €10,000 on June 1, accepting a five-month, 9% interest note. If **Wolder** presents the note to **Higley Inc.** on November 1, the maturity date, **Wolder's** entry to record the collection is:

Nov. 1	Cash	10,375	
	Notes Receivable		10,000
	Interest Revenue		375

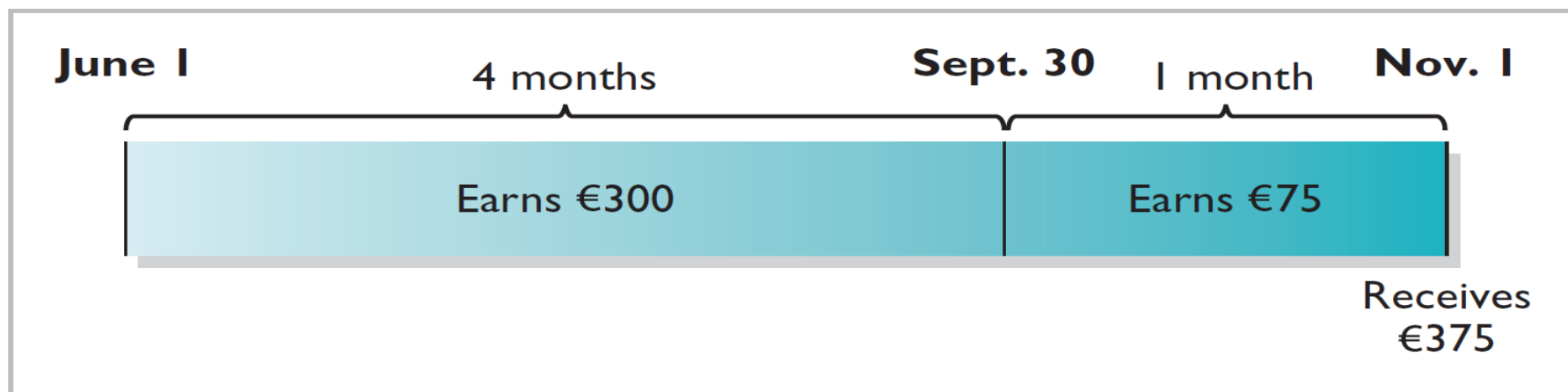
(€10,000 x 9% x 5/12 = €375)

Accrual of Interest Receivable

Illustration: Suppose instead that Wolder Co. prepares financial statements as of September 30. The adjusting entry by Wolder is for four months ending Sept. 30.

Illustration 8-16

Timeline of Interest Earned



Sept. 30

Interest Receivable

300

Interest Revenue

300

$$(\text{€}10,000 \times 9\% \times 4/12 = \text{€ } 300)$$

Illustration: Prepare the entry **Wolder's** would make to record the honoring of the **Higley** note on **November 1**.

Nov. 1	Cash	10,375	
	Notes Receivable		10,000
	Interest Receivable		300
	Interest Revenue ($\text{€}10,000 \times 9\% \times 1/12$)		75

DISHONOR OF NOTES RECEIVABLE

Illustration: Assume that **Higley Co.** on November 1 indicates that it cannot pay at the present time. If **Wolder Co.** does expect eventual collection, it would make the following entry at the time the note is **dishonored** (assuming no previous accrual of interest).

Nov. 1	Accounts Receivable	10,375	
	Notes Receivable		10,000
	Interest Revenue		375



DO IT!

Gambit Stores accepts from **Leonard Co.** €3,400, 90-day, 6% note dated May 10 in settlement of Leonard's overdue open account. The note matures on August 8. What entry does **Gambit** make at the maturity date, assuming **Leonard** pays the note and interest in full at that time?

Solution

Interest payable at maturity date = $€3,400 \times 6\% \times 90/360 = \text{€}51$

Cash	3,451	
Notes Receivable		3,400
Interest Revenue		51

The End of Chapter 5

Thank You!!!